

DBS GROUP HOLDINGS LTD AND ITS SUBSIDIARIES

Compared to the previous half year, net profit rose 39%. Total income rose 12% while expenses declined 8%, resulting in a 25% increase in profit before allowances to \$1.31 billion. Total allowances declined 56% from the prior period, which had higher specific allowances largely due to the prudent downgrade of a previously watchlisted real estate exposure to NPL.

Rest of Greater China

First-half net profit rose 22% from a year ago to \$533 million. Total income grew 11% to \$1.24 billion from a 9% increase in net interest income to \$616 million and a 13% rise in non-interest income to \$621 million. Expenses declined 1% to \$645 million, resulting in a 28% increase in profit before allowances to \$592 million. Total allowances rose 19% to \$63 million, while share of profits of associates declined 9% to \$116 million.

Net profit rose 51% from the previous half year. Total income increased 15% from stronger fee income and other non-interest income. Expenses declined 6%. Total allowances declined 6%, and share of profits of associates rose 21%.

South and Southeast Asia

First-half net profit fell 3% from a year ago to \$246 million. Total income declined 9% to \$815 million mainly due to lower trading income and gains on investment securities in India. Expenses fell 5% to \$449 million. Total allowances decreased 45% to \$51 million mainly due to lower specific allowances.

Compared to the previous half year, net profit grew 55% driven by higher total income as well as decreases in expenses and total allowances.

Rest of the World

First-half net profit more than doubled from a year ago to \$275 million. Total income grew 13% to \$474 million as increases in net interest income and fee income were moderated by a decline in other non-interest income. Expenses were little changed at \$84 million. Total allowances declined from \$126 million to \$13 million due to lower specific allowances.

Compared to the previous half year, net profit rose 12% as higher total income and lower expenses more than offset an increase in allowances.